

SECOND AMENDMENT TO LEASE AGREEMENT

This SECOND AMENDMENT TO LEASE AGREEMENT (this "**Amendment**") is made and entered into as of September 20, 2017 (the "**Amendment Date**"), by and between G&I VII O' CONNOR ROAD LP, a Delaware limited partnership ("**Landlord**"), and TDINDUSTRIES, INC., a Texas corporation ("**Tenant**"). All capitalized terms which are not otherwise defined herein shall have the meanings set forth in the Lease.

BACKGROUND:

- A. On February 22, 1999, Landlord's predecessor-in-interest ("**Original Landlord**") and Tenant entered into a Lease Agreement (the "**Original Lease**", and, as amended from time to time, the "**Lease**") for approximately 12,486 square feet of rentable area (as expanded or reduced from time to time, the "**Premises**") in the "**Building**" (herein so called) known by street address as 12700 O'Connor Road, San Antonio, Texas, being a part of the Project commonly known as O'Connor Road Business Center ("**Project**").
- B. Weingarten Realty Investors ("**Weingarten**") purchased the Project and succeeded to the interest of Original Landlord.
- C. The Original Lease was amended by that certain Renewal Letter dated January 22, 2004, and again by that certain Renewal Letter dated July 1, 2009.
- D. Landlord purchased the Project and succeeded to the interest of Weingarten under the Lease.
- E. On August 25, 2014, Landlord and Tenant entered into that certain First Amendment to Lease Agreement whereby, among other things, (i) the Premises were expanded include approximately 7,693 square feet of Rentable Area in the Building for a total of 20,179 square feet of Rentable Area, and (ii) the Lease Term was extended through December 31, 2019.
- F. Landlord and Tenant desire to amend the Lease to further extend the Lease Term on the terms and conditions set forth herein.

AGREEMENT:

NOW, THEREFORE, in consideration of the foregoing, and for other good and valuable consideration, the receipt and sufficiency of which are acknowledged, the parties agree as follows:

- 1. **Renewal.** The Lease Term is hereby extended for a period of ninety-six (96) months from January 1, 2020 (the "**Effective Date**") through December 31, 2027 (the "**Expiration Date**"). All unexercised options to renew or further extend the Lease Term are hereby deleted and shall be of no further force or effect.
- 2. **Base Rental.** From the Amendment Date through December 31, 2019, Tenant shall continue to pay Base Rental pursuant to the terms of the Lease. From the Effective Date through the Expiration Date, the monthly Base Rental payable under the Lease is as follows:

<u>Months</u>	<u>Base Rental per Square Foot</u>	<u>Monthly Base Rental</u>
01/01/20 – 12/31/20	\$6.55	\$11,014.37
01/01/21 – 12/31/21	\$6.70	\$11,266.61
01/01/22 – 12/31/22	\$6.85	\$11,518.85
01/01/23 – 12/31/23	\$7.00	\$11,771.08
01/01/24 – 12/31/24	\$7.15	\$12,023.32
01/01/25 – 12/31/25	\$7.30	\$12,275.56
01/01/26 – 12/31/26	\$7.45	\$12,527.80
01/01/27 – 12/31/27	\$7.60	\$12,780.03

Tenant shall continue to pay all other amounts payable under the Lease.

3. Acceptance of Premises. Tenant accepts the Premises in their "**AS-IS**" condition and Landlord shall have no obligation to improve, repair, restore or refurbish the Premises except as otherwise specifically provided in the Lease and this Amendment. Tenant acknowledges that neither Landlord nor any agent of Landlord has made any representation or warranty, except as otherwise expressly provided in this Amendment, with respect to the Premises or any other portion of the Project including, without limitation, any representation or warranty with respect to the suitability or fitness of the Premises or any other portion of the Project for the conduct of Tenant's business.
4. Finish-Out of Premises. Landlord agrees to provide Tenant with a finish-out allowance of \$1.50 per square foot in the Premises (\$30,268.50) for costs incurred in connection with renovations to the Premises. The work will be performed and the allowance applied in accordance with **Attachment A** attached to this Amendment.
5. Address for Landlord. As of the date of this Amendment, all notices to be provided to Landlord under this Amendment shall be sent to the following addresses:

c/o Stream Realty Partners – Central Texas L.P.
100 N.E. Loop 410, Suite 1500
San Antonio, Texas 78216

with copy to:

c/o DRA Advisors LLC
220 East 42nd Street (27th Floor)
New York, New York 10017
Attn: Asset Management
6. OFAC. Tenant represents and warrants to Landlord that Tenant is currently in compliance with, and Tenant further covenants to Landlord that Tenant shall at all times during the Lease Term (including any extension thereof) remain in compliance with, the regulations of the Office of Foreign Assets Control ("**OFAC**") of the U.S. Department of Treasury (including those named on OFAC's Specially Designated Nationals and Blocked Persons List) and any statute, executive order (including, but not limited to, Executive Order 13224, dated September 24, 2001 and entitled "Blocking Property and Prohibiting Transactions with Persons Who Commit, Threaten to Commit, or Support Terrorism"), or other governmental, regulatory, or administrative action relating thereto.

7. Brokerage. Neither Landlord nor Tenant has dealt with any broker or agent in connection with the negotiation or execution of this Amendment, other than Stream Realty Partners – Central Texas, L.P., representing Landlord ("**Broker**"). whose commission shall be paid by Landlord pursuant to a separate written agreement. Tenant and Landlord shall each indemnify, defend and hold harmless the other against all costs, expenses, attorneys' fees, liens and other liability for commissions or other compensation claimed by any broker or agent, other than Broker, claiming the same by, through, or under the indemnifying party.
8. WAIVER OF JURY TRIAL. TO THE MAXIMUM EXTENT PERMITTED BY LAW, LANDLORD AND TENANT EACH WAIVE ANY RIGHT TO TRIAL BY JURY IN ANY LITIGATION OR TO HAVE A JURY PARTICIPATE IN RESOLVING ANY DISPUTE ARISING OUT OF OR WITH RESPECT TO THE LEASE OR ANY OTHER INSTRUMENT, DOCUMENT OR AGREEMENT EXECUTED OR DELIVERED IN CONNECTION HERewith OR THE TRANSACTIONS RELATED HERETO.
9. Governing Law. The Lease shall be governed by and construed in accordance with the laws of the state in which the Premises are located.
10. Recordation of Lease. Tenant shall not record the Lease or any memorandum of the Lease without the prior written consent of Landlord, which consent may be withheld or denied in the sole and absolute discretion of Landlord, and any recordation by Tenant shall be a material breach of the Lease. Tenant grants to Landlord a power of attorney to execute and record a release releasing any such recorded instrument of record that was recorded without the prior written consent of Landlord.
11. Calculation of Charges. Landlord and Tenant agree that each provision of the Lease for determining charges and amounts payable by Tenant (including provisions regarding Operating Expenses Rental) is commercially reasonable and, as to each such charge or amount, constitutes a statement of the amount of the charge or a method by which the charge is to be computed for purposes of Section 93.012 of the Texas Property Code.
12. No Waiver. Neither acceptance of rent (or any portion thereof) or any other sums payable by Landlord or Tenant hereunder (or any portion thereof) by Landlord or Tenant nor failure by Landlord or Tenant to complain of any action, non-action or default of the other shall constitute a waiver as to any breach of any covenant or condition of Tenant contained herein nor a waiver of the rights of any party hereunder. Waiver of any default shall not constitute a waiver of any prior or subsequent default under the Lease. No right, remedy, covenant, duty or obligation hereunder shall be deemed waived unless such waiver be in writing.
13. No Offsets. Tenant hereby represents to Landlord that to the best of Tenant's knowledge, as of the date of this Amendment, Tenant has no defenses to or offsets against the full and timely payment and performance of each and every covenant and obligation required to be performed by Tenant under the terms of the Lease.
14. Conflicts. The terms of this Amendment prevail if there is a conflict with the terms of the Lease.

15. Headings. The headings or captions of the paragraphs in this Amendment are for convenience only and shall not act and shall not be implied to act to limit or expand the construction and intent of the contents of the respective paragraph.
16. Binding Effect. This Amendment is binding upon and shall inure to the benefit of the parties and their respective successors and assigns (but this reference to assigns shall not be deemed to act as a consent to an assignment by Tenant).
17. Ratification. The Lease, as amended and modified hereby, is ratified and confirmed by the parties as being in full force and effect.

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EXECUTED as of the date first above written.

LANDLORD:

G&I VII O'CONNOR ROAD LP,
a Delaware limited partnership

By: G&I VII Ranger GP LLC, a Delaware limited
liability company, its general partner

By: Valla Brown
Name: Valla Brown
Title: Vice President

TENANT:

TD INDUSTRIES, INC.,
a Texas corporation

By: [Signature]
Name: BOB RICHMONS
Title: PRESIDENT - CENTRAL TEXAS

ATTACHMENT A

TENANT FINISH-WORK (Tenant Performs the Work)

1. **Acceptance of Premises.** Tenant accepts the Premises in their "**AS-IS**" condition on the date that this Amendment is entered into.

2. **Plans; Scope of Work.**

(a) **Preparation and Delivery.** Prior to commencing any work in the Premises, Tenant shall provide to Landlord for its approval space plans, construct drawings or any other plans or specifications reasonably required by Landlord, depicting the improvements that Tenant proposes to install in the Premises.

(b) **Approval Process.** Landlord shall notify Tenant whether it approves of the submitted plans within ten business days after Tenant's submission thereof. If Landlord disapproves of such working drawings, then Landlord shall notify Tenant thereof specifying in reasonable detail the reasons for such disapproval, in which case Tenant shall, within three business days after such notice, revise such working drawings in accordance with Landlord's objections and submit the revised working drawings to Landlord for its review and approval. Landlord shall notify Tenant in writing whether it approves of the resubmitted working drawings within five business days after its receipt thereof. This process shall be repeated until the working drawings have been finally approved by Tenant and Landlord. If Landlord fails to notify Tenant that it disapproves of the initial working drawings within ten business days (or, in the case of resubmitted working drawings, within five business days) after the submission thereof, then Landlord shall be deemed to have approved the working drawings in question.

(c) **Landlord's Approval; Performance of Work.** If any of Tenant's proposed construction work will affect the Building's structure or the Building's systems, then the working drawings pertaining thereto must be approved by the Building's engineer of record. Landlord's approval of such working drawings shall not be unreasonably withheld, provided that (1) they comply with all laws, (2) the improvements depicted thereon do not adversely affect (in the reasonable discretion of Landlord) the Building's structure or the Building's systems (including the Building's restrooms or mechanical rooms), the exterior appearance of the Building, or the appearance of the Building's common areas or elevator lobby areas, (3) such working drawings are sufficiently detailed to allow construction of the improvements in a good and workmanlike manner, and (4) the improvements depicted thereon conform to the rules and regulations promulgated from time to time by Landlord for the construction of tenant improvements (a copy of which has been delivered to Tenant). As used herein, "**Working Drawings**" means the final working drawings approved by Landlord, as amended from time to time by any approved changes thereto, and "**Work**" means all improvements to be constructed in accordance with and as indicated on the Working Drawings, together with any work required by governmental authorities to be made to other areas of the Building as a result of the improvements indicated by the Working Drawings. Landlord's approval of the Working Drawings shall not be a representation or warranty of Landlord that such drawings are adequate for any use or comply with any law, but shall merely be the consent of Landlord thereto. Tenant shall, at Landlord's request, sign the Working Drawings to evidence its review and approval thereof. After the Working Drawings have been approved, Tenant shall cause the Work to be performed in accordance with the Working Drawings.

3. **Contractors; Performance of Work.** The Work shall be performed only by licensed contractors and subcontractors approved in writing by Landlord, which approval shall not be unreasonably withheld. Tenant hereby represents to Landlord that it is a contractor duly licensed under the applicable laws of the state of Texas, and Landlord, relying on said representation, hereby approves Tenant to perform the Work as general contractor. Tenant shall, as general contractor, (1) provide a separate written warranty for all defective Work for one (1) year following completion of the Work; (2) maintain general commercial liability insurance of not less than a combined single limit of \$5,000,000, naming Landlord, Landlord's property management company, Landlord's asset management company, Landlord's Mortgagee and each of their and Tenant's respective Affiliates as additional insureds; (3) perform the Work in substantial accordance with the Working Drawings and in a good and workmanlike manner; (4) be responsible for daily cleanup work and final clean up (including removal of debris); (5) perform the Work in such a manner and at such times as and not to interfere with or delay Landlord's other contractors, the operation of the Building, and the occupancy thereof by other tenants; (6) contract Landlord and schedule time periods during which it may use the Building facilities in connection with the Work (e.g., elevators, excess electricity, etc...) and (7) enter into subcontracts (if any) in accordance with the requirements of Section 4 below.

4. **Subcontracts.** Unless otherwise agreed in writing by Landlord and Tenant, each of Tenant's construction subcontracts (if any) shall: (1) provide a schedule and sequence of construction activities and completion reasonably acceptable to Landlord, (2) be in a contract form that approved by Landlord, (3) require the subcontractor to name Landlord, Landlord's property management company, Landlord's asset management company, and Tenant as additional insured on such contractor's insurance maintained in connection with the construction of the Work, (4) be assignable following an Event of Default by Tenant under the Lease to Landlord and Landlord's Mortgagees, and (5) contain at least a one-year warranty for all workmanship and materials.

5. **Tenant's Indemnity.**

(a) TO THE FULLEST EXTENT PERMITTED BY LAW, AND EXCEPT AS SET OUT IN SECTION 6(a) BELOW, TENANT SHALL INDEMNIFY, DEFEND AND HOLD HARMLESS LANDLORD, AND ALL OF ITS OWNERS, OFFICERS, DIRECTORS, AFFILIATES, AGENTS AND EMPLOYEES (THE "**INDEMNITEES**") FROM AND AGAINST ALL CLAIMS, DAMAGES, LOSSES AND EXPENSES, INCLUDING, BUT NOT LIMITED TO, LEGAL FEES, ARISING OUT OF OR RESULTING FROM, WHETHER DIRECTLY OR INDIRECTLY: (A) BODILY INJURY OR DEATH OF ANY PERSON, OR PROPERTY DAMAGE, INCLUDING LOSS OF USE OF PROPERTY, ARISING OR ALLEGED TO ARISE OUT OF OR IN ANY WAY RELATED TO THE LEASE, THIS AMENDMENT OR TENANT'S PERFORMANCE OF THE WORK OR OTHER ACTIVITIES OF TENANT, BUT ONLY TO THE EXTENT CAUSED IN WHOLE OR IN PART BY ANY NEGLIGENT ACT OR OMISSION OF TENANT OR ANYONE DIRECTLY OR INDIRECTLY EMPLOYED BY TENANT OR ANYONE FOR WHOSE ACTS TENANT MAY BE LIABLE; OR (B) A BREACH OF THE LEASE OR THIS AMENDMENT BY TENANT.

(b) TO THE FULLEST EXTENT PERMITTED BY LAW, TENANT SHALL INDEMNIFY, DEFEND AND HOLD HARMLESS THE INDEMNITEES FROM AND AGAINST ALL CLAIMS, DAMAGES, LOSSES AND EXPENSES, INCLUDING, BUT NOT LIMITED TO, LEGAL FEES ARISING OUT OF OR RESULTING FROM, WHETHER DIRECTLY OR

INDIRECTLY, BODILY INJURY TO, OR SICKNESS, DISEASE OR DEATH OF, ANY EMPLOYEE, AGENT OR REPRESENTATIVE OF TENANT OR ANY OF ITS SUBCONTRACTORS, TO THE EXTENT THAT SUCH MATTERS ARE COVERED BY WORKER'S COMPENSATION OR WOULD HAVE BEEN COVERED BY WORKER'S COMPENSATION BUT FOR THE FAILURE OF CONTRACTOR OR ONE OF ITS SUBCONTRACTOR'S TO COMPLY WITH APPLICABLE WORKER'S COMPENSATION LAWS OR THE PROVISIONS OF THIS AMENDMENT. THE INDEMNIFICATION OBLIGATIONS UNDER THIS PARAGRAPH SHALL APPLY **WHETHER OR NOT THE MATTERS AT ISSUE ARISE OUT OF THE NEGLIGENCE OR STRICT LIABILITY (BUT NOT THE GROSS NEGLIGENCE OR WILLFUL MISCONDUCT) OF ONE OR MORE OF THE INDEMNITEES** AND SHALL NOT BE LIMITED BY ANY LIMITATION ON THE AMOUNT OR TYPE OF DAMAGES, COMPENSATION OR BENEFITS PAYABLE BY OR FOR TENANT UNDER WORKERS COMPENSATION ACTS, DISABILITY BENEFIT ACTS OR OTHER EMPLOYEE BENEFIT ACTS. TENANT SHALL PROCURE LIABILITY INSURANCE COVERING ITS OBLIGATIONS UNDER THIS PARAGRAPH.

6. **Definitions.** As used herein "**Substantial Completion.**" "**Substantially Completed.**" and any derivations thereof mean the Work in the Premises is substantially completed (as reasonably determined by Landlord) in accordance with the Working Drawings. Substantial Completion shall have occurred even though minor details of construction, decoration, landscaping and mechanical adjustments remain to be completed.

7. **Walk-Through; Punchlist.** When Tenant considers the Work in the Premises to be Substantially Completed, Tenant will notify Landlord and within three business days thereafter, Landlord's representative and Tenant's representative shall conduct a walk-through of the Premises and identify any necessary touch-up work, repairs and minor completion items that are necessary for final completion of the Work. Neither Landlord's representative nor Tenant's representative shall unreasonably withhold his or her agreement on punchlist items. Tenant shall (as general contractor) use reasonable efforts to complete all punchlist items within 30 days after agreement thereon.

8. **Costs.** The entire cost of performing the Work, including costs of (i) construction labor and materials (such costs being specifically defined as "**Hard Construction Costs**"), (ii) design of and space planning for the Work and preparation of the Working Drawings and the final "as-built" plan of the Work, (iii) electrical usage during construction, (iv) additional janitorial services, (v) general tenant signage, (vi) related taxes and insurance costs, (vii) licenses, permits, certifications, surveys and other approvals required by law, and (viii) the construction management fee referenced in Section 10 of this **Attachment A**, all of which costs are herein collectively called the "**Total Construction Costs**") in excess of the Construction Allowance (hereinafter defined) shall be paid by Tenant. Upon approval of the Working Drawings, Tenant shall promptly execute a work order agreement which identifies such drawings and itemizes the Total Construction Costs and sets forth the Construction Allowance.

9. **Construction Allowance.** Landlord shall provide to Tenant a construction allowance up to and not to exceed \$1.50 per rentable square foot in the Premises (\$30,268.50) (the "**Construction Allowance**") to be applied toward the Hard Construction Costs portion of the Total Construction Costs. No advance of the Construction Allowance shall be made by Landlord until Tenant has first initiated the Work using its own funds (and provided reasonable evidence thereof to Landlord) and provided an estimate to Landlord of (i) the Hard Construction Costs and (ii) the anticipated amount by which the projected Total Construction Costs exceed

the amount of the Construction Allowance. Thereafter, Landlord shall pay to Tenant the Construction Allowance within thirty (30) days following the receipt by Landlord of the following items: (a) a request for payment, (b) final or partial lien waivers, as the case may be, from all persons performing work or supplying or fabricating materials for the Work, fully executed, acknowledged and in recordable form, and (c) Tenant's certification that the Work for which reimbursement has been requested has been finally completed, including (with respect to the last application for payment only) any punch-list items, on the appropriate AIA form or another form approved by Landlord. Notwithstanding anything to the contrary contained in this **Attachment A**, Landlord shall not be obligated to make any disbursement of the Construction Allowance during the pendency of any of the following: (A) Landlord has received written notice of any unpaid claims relating to any portion of the Work or materials in connection therewith, other than claims which will be paid in full from such disbursement, (B) there is an unbonded lien outstanding against the Building or the Premises or Tenant's interest therein by reason of work done, or claimed to have been done, or materials supplied or specifically fabricated, claimed to have been supplied or specifically fabricated, to or for Tenant or the Premises, (C) the conditions to the advance of the Construction Allowance are not satisfied, or (D) an Event of Default by Tenant exists. The Construction Allowance must be used (that is, the Work must be fully complete and the Construction Allowance disbursed) within six (6) months following the Amendment Date or shall be deemed forfeited with no further obligation by Landlord with respect thereto, time being of the essence with respect thereto.

10. **Construction Management.** Landlord or its Affiliate or agent shall supervise the Work and coordinate the relationship between the Work, the Building and the Building's systems. In consideration for Landlord's construction supervision services, Tenant shall pay to Landlord a construction supervision fee equal to five percent (5%) of the Total Construction Costs.

11. **Construction Representatives.** Landlord's and Tenant's representatives for coordination of construction and approval of change orders will be as follows, provided that either party may change its representative upon written notice to the other:

Landlord's Representative:

c/o _____

Telephone: _____ - _____ - _____

Telecopy: _____ - _____ - _____

Tenant's Representative:

c/o Wesley E. Baker
12700 D'Connor Rd.
San Antonio, TX 78233

Telephone: 210 - 848 - 8917

Telecopy: _____ - _____ - _____